ANNUAL OPERATING BUDGET

Ivy Collegiate Commons | Kansas City, MO

Property	Ivy Collegiate Commons
Fiscal Year	2021
Submitted By	Cobblestone Property Co.
Submitted	May 5, 2023

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$139,663	$142,790	$151,013	$11,349	8.1%	$399.50
5010 Loss to Lease	$317,865	$298,663	$312,529	-$5,336	-1.7%	$826.80
5020 Vacancy Loss	$355,030	$345,797	$357,113	$2,083	0.6%	$944.74
5030 Concessions	$236,688	$237,047	$252,557	$15,869	6.7%	$668.14
5040 Bad Debt	$307,852	$312,261	$318,614	$10,761	3.5%	$842.89
5050 Late Fees	$129,386	$135,166	$143,041	$13,655	10.6%	$378.41
5060 Utility Reimbursements	$306,997	$300,752	$319,818	$12,821	4.2%	$846.08
5070 Parking Income	$68,927	$66,159	$67,903	-$1,024	-1.5%	$179.64
5080 Application Fees	$330,731	$348,505	$349,453	$18,721	5.7%	$924.48
5090 Pet Rent	$126,909	$133,546	$135,812	$8,903	7.0%	$359.29
5100 Laundry Income	$84,616	$78,018	$79,296	-$5,320	-6.3%	$209.78
5110 Cable/Internet Revenue	$261,517	$276,247	$279,372	$17,854	6.8%	$739.08
5120 CAM Reimbursements	$343,270	$329,278	$331,563	-$11,707	-3.4%	$877.15
5130 Tax Reimbursements	$59,181	$62,560	$64,700	$5,518	9.3%	$171.16
5140 Insurance Reimbursements	$193,462	$190,542	$202,478	$9,016	4.7%	$535.66
5150 Percentage Rent	$195,557	$194,713	$206,869	$11,312	5.8%	$547.27
5160 Misc. Income	$285,894	$276,118	$287,900	$2,006	0.7%	$761.64
5170 Payroll - Management	$197,142	$190,300	$200,035	$2,893	1.5%	$529.19
5180 Payroll - Leasing	$225,746	$230,842	$243,728	$17,982	8.0%	$644.78
5190 Payroll - Maintenance	$172,477	$164,356	$172,843	$366	0.2%	$457.26
5200 Payroll Taxes & Benefits	$290,821	$277,359	$288,668	-$2,153	-0.7%	$763.67
5210 Repairs - Plumbing	$365,157	$350,247	$356,500	-$8,657	-2.4%	$943.12
5220 Repairs - HVAC	$108,575	$104,148	$109,746	$1,171	1.1%	$290.33
5230 Repairs - Electrical	$69,893	$67,269	$68,207	-$1,685	-2.4%	$180.44

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$94,116	$94,646	$95,907	$1,791	1.9%	$253.72
5430 Legal & Professional	$82,374	$82,922	$87,333	$4,959	6.0%	$231.04
5440 Accounting & Audit	$141,554	$131,939	$137,336	-$4,218	-3.0%	$363.32
5450 Licenses & Permits	$334,951	$356,965	$359,694	$24,743	7.4%	$951.57
5460 Management Fee	$187,722	$180,832	$189,419	$1,697	0.9%	$501.11
5470 Property Insurance	$244,336	$232,016	$237,621	-$6,715	-2.7%	$628.63
5480 Real Estate Taxes	$197,706	$202,932	$205,475	$7,770	3.9%	$543.59
5490 Asset Management Fee	$128,676	$118,556	$125,392	-$3,284	-2.6%	$331.72
5500 Replacement Reserves	$231,874	$240,341	$249,345	$17,471	7.5%	$659.64
5510 Roof Repairs	$20,601	$19,987	$21,344	$743	3.6%	$56.47
5520 Parking Lot Repairs	$272,587	$290,276	$292,255	$19,668	7.2%	$773.16
5530 Signage	$165,928	$154,837	$162,280	-$3,647	-2.2%	$429.31
5540 Tenant Improvements	$294,686	$289,515	$298,895	$4,209	1.4%	$790.73
5550 Leasing Commissions	$19,658	$18,716	$19,504	-$154	-0.8%	$51.60
5000 Gross Potential Rent	$64,641	$60,715	$64,243	-$398	-0.6%	$169.96
5010 Loss to Lease	$131,562	$123,295	$125,223	-$6,339	-4.8%	$331.28
5020 Vacancy Loss	$282,288	$268,279	$272,038	-$10,250	-3.6%	$719.68
5030 Concessions	$162,044	$156,213	$161,729	-$315	-0.2%	$427.85
5040 Bad Debt	$21,105	$21,553	$22,986	$1,881	8.9%	$60.81
5050 Late Fees	$274,346	$263,011	$270,128	-$4,218	-1.5%	$714.62
5060 Utility Reimbursements	$176,857	$189,906	$202,645	$25,788	14.6%	$536.10
5070 Parking Income	$23,812	$21,932	$22,780	-$1,032	-4.3%	$60.27
5080 Application Fees	$229,702	$238,139	$239,928	$10,226	4.5%	$634.73
5090 Pet Rent	$36,142	$37,733	$39,620	$3,478	9.6%	$104.81
5100 Laundry Income	$167,778	$172,834	$181,745	$13,967	8.3%	$480.81
5110 Cable/Internet Revenue	$226,552	$241,309	$249,811	$23,259	10.3%	$660.88
5120 CAM Reimbursements	$40,536	$39,674	$41,783	$1,248	3.1%	$110.54
5130 Tax Reimbursements	$146,535	$150,942	$154,431	$7,896	5.4%	$408.55
5140 Insurance Reimbursements	$316,866	$329,127	$341,407	$24,541	7.7%	$903.19
5150 Percentage Rent	$26,375	$24,395	$25,464	-$910	-3.5%	$67.37
5160 Misc. Income	$219,542	$203,822	$213,011	-$6,531	-3.0%	$563.52
5170 Payroll - Management	$77,632	$82,768	$85,285	$7,653	9.9%	$225.62
5180 Payroll - Leasing	$72,322	$69,660	$70,658	-$1,664	-2.3%	$186.93
5190 Payroll - Maintenance	$234,297	$235,415	$241,160	$6,863	2.9%	$637.99
5200 Payroll Taxes & Benefits	$242,265	$230,871	$245,754	$3,489	1.4%	$650.14
5210 Repairs - Plumbing	$363,119	$381,177	$406,392	$43,273	11.9%	$1,075.11
5220 Repairs - HVAC	$277,832	$283,115	$302,893	$25,061	9.0%	$801.30
5230 Repairs - Electrical	$317,502	$336,035	$339,890	$22,387	7.1%	$899.18
5240 Repairs - Appliances	$332,653	$342,140	$361,697	$29,044	8.7%	$956.87
5250 Painting & Decorating	$222,810	$222,523	$232,286	$9,476	4.3%	$614.51
5260 Flooring	$226,539	$240,072	$248,909	$22,369	9.9%	$658.49
5270 Make-Ready / Turnover	$193,951	$195,737	$200,779	$6,829	3.5%	$531.16

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Operating Performance

The going-in capitalization rate of 7.22% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 94.7% with rental rates per bed averaging $1,012. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Operating expenses totaled $429,000 or approximately 30.58 per square foot, with real estate taxes representing the largest line item. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $62,000, representing a 3.4% increase over the prior year.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 11 hours. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Collections for the period were 91.3% of billed charges, with bad debt of 7.3% of gross potential income. Pre-leasing for the coming academic year stands at 95.4% with rental rates per bed averaging $1,012.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Service requests are tracked through a work-order system with an average completion time of 45 hours. Collections for the period were 89.0% of billed charges, with bad debt of 5.5% of gross potential income. Pre-leasing for the coming academic year stands at 89.3% with rental rates per bed averaging $1,012. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Financial Analysis

Debt service coverage ratio was 6.32x on a trailing basis against a covenant minimum of 1.20x. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Effective gross income for the trailing period was $314,000, representing a 10.8% increase over the prior year. Pre-leasing for the coming academic year stands at 92.8% with rental rates per bed averaging $1,012. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period.

Effective gross income for the trailing period was $260,000, representing a 4.5% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $258,000 or approximately 16.02 per square foot, with real estate taxes representing the largest line item. Pre-leasing for the coming academic year stands at 91.3% with rental rates per bed averaging $1,012.

Leasing and Marketing

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. Pre-leasing for the coming academic year stands at 94.1% with rental rates per bed averaging $1,012. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members.

Pre-leasing for the coming academic year stands at 88.7% with rental rates per bed averaging $1,012. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Service requests are tracked through a work-order system with an average completion time of 36 hours.

Financial Analysis

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Operating expenses totaled $84,000 or approximately 39.83 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 8.06% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $438,000, representing a 9.9% increase over the prior year. Pre-leasing for the coming academic year stands at 96.7% with rental rates per bed averaging $1,012. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Pre-leasing for the coming academic year stands at 93.1% with rental rates per bed averaging $1,012. Debt service coverage ratio was 8.06x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.33% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $188,000 or approximately 27.15 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses.

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Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5260 Flooring	$162,944	$164,277	$175,538	$12,595	7.7%	$464.39
5270 Make-Ready / Turnover	$153,735	$146,943	$153,666	-$69	-0.0%	$406.52
5280 Landscaping Contract	$33,180	$30,826	$32,403	-$776	-2.3%	$85.72
5290 Snow Removal	$300,565	$308,374	$326,579	$26,014	8.7%	$863.97
5300 Janitorial	$131,728	$129,681	$133,051	$1,323	1.0%	$351.99
5310 Pest Control	$30,357	$28,030	$28,970	-$1,388	-4.6%	$76.64
5320 Trash Removal	$36,633	$37,524	$37,578	$945	2.6%	$99.41
5330 Elevator Contract	$291,488	$302,644	$307,147	$15,659	5.4%	$812.56
5340 Fire & Life Safety	$319,006	$320,834	$333,932	$14,926	4.7%	$883.42
5350 Security	$54,078	$50,342	$50,598	-$3,480	-6.4%	$133.86
5360 Electricity - Common	$357,832	$384,288	$410,741	$52,909	14.8%	$1,086.62
5370 Gas - Common	$209,939	$212,883	$224,974	$15,035	7.2%	$595.17
5380 Water & Sewer	$80,018	$81,294	$81,861	$1,843	2.3%	$216.56
5390 Telephone/Internet	$83,994	$85,587	$87,938	$3,944	4.7%	$232.64
5400 Advertising	$111,413	$112,196	$113,355	$1,943	1.7%	$299.88
5410 Resident Events	$140,527	$131,562	$132,861	-$7,665	-5.5%	$351.48
5420 Office Supplies	$75,542	$74,752	$78,097	$2,555	3.4%	$206.61
5430 Legal & Professional	$55,431	$57,303	$59,856	$4,425	8.0%	$158.35
5440 Accounting & Audit	$260,079	$253,887	$268,744	$8,665	3.3%	$710.96
5450 Licenses & Permits	$43,500	$40,900	$42,916	-$584	-1.3%	$113.53
5460 Management Fee	$94,903	$91,192	$93,943	-$960	-1.0%	$248.53
5470 Property Insurance	$257,935	$255,778	$270,489	$12,553	4.9%	$715.58
5480 Real Estate Taxes	$272,320	$268,729	$274,878	$2,559	0.9%	$727.19
5490 Asset Management Fee	$221,106	$204,714	$207,479	-$13,627	-6.2%	$548.89
5500 Replacement Reserves	$355,174	$338,115	$338,938	-$16,236	-4.6%	$896.66
5510 Roof Repairs	$217,414	$200,436	$212,078	-$5,336	-2.5%	$561.05
5520 Parking Lot Repairs	$331,109	$351,964	$363,846	$32,737	9.9%	$962.56
5530 Signage	$308,138	$319,099	$328,023	$19,886	6.5%	$867.79
5540 Tenant Improvements	$364,723	$345,294	$361,015	-$3,708	-1.0%	$955.07
5550 Leasing Commissions	$343,615	$327,468	$337,451	-$6,164	-1.8%	$892.73
5000 Gross Potential Rent	$76,914	$78,057	$79,378	$2,465	3.2%	$210.00
5010 Loss to Lease	$349,523	$323,291	$331,672	-$17,851	-5.1%	$877.44
5020 Vacancy Loss	$156,156	$145,093	$145,433	-$10,723	-6.9%	$384.74
5030 Concessions	$227,121	$219,123	$220,047	-$7,074	-3.1%	$582.13
5040 Bad Debt	$215,631	$199,244	$211,927	-$3,703	-1.7%	$560.65
5050 Late Fees	$303,458	$304,519	$325,497	$22,038	7.3%	$861.10
5060 Utility Reimbursements	$130,250	$131,188	$136,250	$6,000	4.6%	$360.45
5070 Parking Income	$89,310	$84,884	$90,142	$832	0.9%	$238.47
5080 Application Fees	$321,570	$305,998	$309,058	-$12,512	-3.9%	$817.61
5090 Pet Rent	$203,926	$214,553	$221,753	$17,827	8.7%	$586.65
5100 Laundry Income	$184,604	$181,842	$182,901	-$1,703	-0.9%	$483.86

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Summary and Notes

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 89.6% with rental rates per bed averaging $1,012. The going-in capitalization rate of 7.38% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.55x on a trailing basis against a covenant minimum of 1.20x.

Debt service coverage ratio was 5.26x on a trailing basis against a covenant minimum of 1.20x. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Effective gross income for the trailing period was $108,000, representing a 4.9% increase over the prior year. Operating expenses totaled $417,000 or approximately 19.43 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 30 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Pre-leasing for the coming academic year stands at 92.2% with rental rates per bed averaging $1,012. The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day.

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